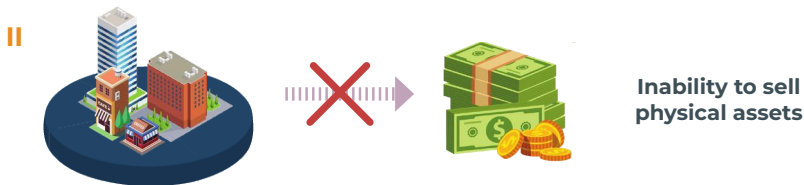
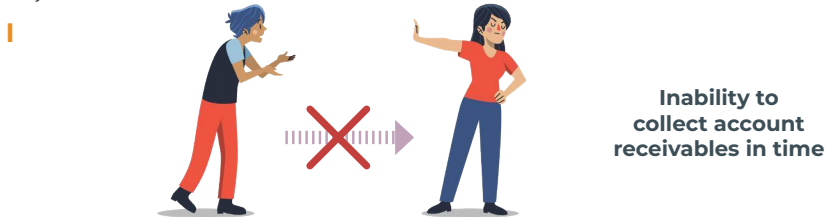


Exit Barriers in the Industry

(High/Medium/Low)

As per the laws of economics, firms tend to operate till the time they can cover their fixed costs. Below this, they reach their shutdown point and they shouldn't continue operating. However, some industries have exit barriers associated with them and firms continue to operate long after they should not.



Firms continue to manufacture and sell, despite reaching their shutdown level, and excess capacity tends to stay with the industry.



This excess capacity does not allow the supply-demand situation to turn more favorable, and firms are forced to compete in an oversupplied market.

This causes them to indulge in undercutting each other. Thus, high exit barriers in industry reduces overall profitability by intensifying competitive rivalry.